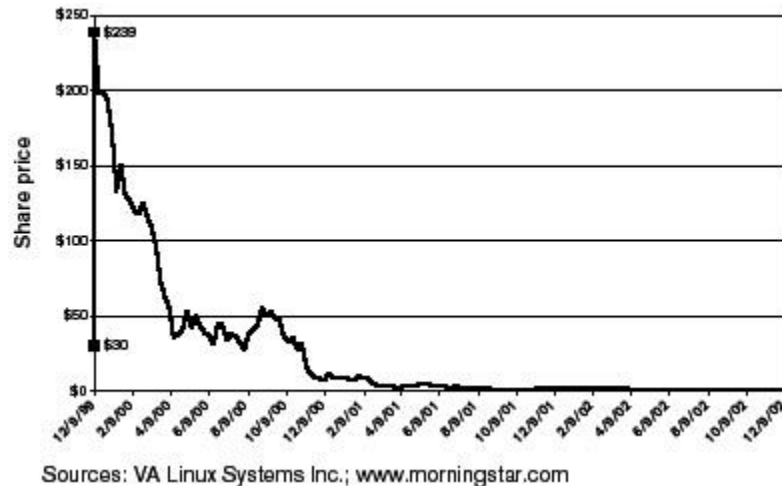


pay even more than you did for a stock, why does it matter what the business is worth?

This chart shows why it matters.

FIGURE 6-2

The Legend of VA Linux



After going up like a bottle rocket on that first day of trading, VA Linux came down like a buttered brick. By December 9, 2002, three years to the day after the stock was at \$239.50, VA Linux closed at \$1.19 per share.

Weighing the evidence objectively, the intelligent investor should conclude that IPO does not stand only for “initial public offering.” More accurately, it is also shorthand for:

It's Probably Overpriced,
Imaginary Profits Only,
Insiders' Private Opportunity, or
Idiotic, Preposterous, and Outrageous.